

Restaurant Performance Analysis Report

Quarter 1 Business Performance Review

Executive Summary

This report provides an overview of the restaurant's performance during Quarter 1, highlighting key trends in revenue, customer demand, menu performance and operational activity. The aim is to identify what is driving success, where opportunities exist, and what actions can be taken to improve profitability and support future growth.

During the first quarter, the restaurant generated **£159,220 in revenue** from **5,343 customer orders**, with more than **12,000 menu items sold**. Customers spent an average of **£29.80 per order**, suggesting there is already strong value being achieved from each transaction.

Overall, the business is performing well. Revenue has remained consistent throughout the quarter, demand has been steady, and several menu items are delivering excellent financial returns. The analysis also highlights clear opportunities to strengthen performance through targeted promotions, menu optimisation and operational planning.

Business Performance

Revenue remained stable across January, February and March, with only a slight dip during February before recovering to the highest monthly revenue in March.

This consistency suggests the restaurant has established a reliable customer base and is maintaining healthy trading levels. While February experienced lower sales, the quick recovery indicates this is more likely to be a seasonal fluctuation than a long-term concern.

The current average order value of **£29.80** is encouraging and suggests customers are regularly purchasing multiple items during each visit. There is still room to increase this figure further through upselling and carefully designed meal bundles.

Recommendation

Rather than focusing solely on attracting new customers, the business should also look at increasing the value of each existing transaction. Small improvements to average spend can have a significant impact on overall revenue over the course of a year.

Menu Performance

The menu currently consists of **32 items** across **four categories**, with revenue heavily concentrated within the Italian and Asian ranges.

Category	Revenue Contribution
Italian	31.07%
Asian	29.34%
Mexican	21.85%
American	17.74%

Together, the Italian and Asian categories generate more than **60% of total revenue**, making them the restaurant's strongest commercial performers.

This indicates a clear customer preference and provides a strong foundation for future menu development.

Recommendation

The business should continue building on the popularity of these categories by introducing seasonal specials, premium versions of best-selling dishes and marketing campaigns centred around these customer favourites.

Where investment decisions need to be made, these categories should be treated as the highest priority.

Top Performing Menu Items

A relatively small number of dishes generate a large proportion of overall revenue.

The highest performing products include:

- Korean Beef Bowl (£10,554.60)
- Spaghetti & Meatballs (£8,436.50)
- Tofu Pad Thai (£8,149.00)
- Cheeseburger (£8,132.85)
- Hamburger (£8,054.90)

These products consistently outperform the rest of the menu and have become the restaurant's strongest commercial assets.

Recommendation

These dishes should be positioned as signature menu items.

Featuring them more prominently on printed menus, delivery platforms and social media campaigns is likely to increase sales further. Staff should also be encouraged to recommend these dishes when taking customer orders, helping to maximise revenue from existing demand.

Menu Optimisation

Although several products perform exceptionally well, there are also menu items that generate relatively low revenue despite occupying menu space and requiring stock, preparation time and operational resources.

Not every menu item needs to be removed, but each should have a clear commercial purpose.

Recommendation

A regular menu performance review should become part of the restaurant's decision-making process.

For lower-performing dishes, management should consider:

- Whether pricing reflects customer value.
- Whether the dish is being marketed effectively.
- Whether ingredient costs are reducing profitability.
- Whether demand could be increased through promotions.
- Whether the item should remain on the menu.

A more focused menu can improve kitchen efficiency, reduce waste and make purchasing decisions more cost effective.

Pricing Opportunities

One of the most interesting findings is that several dishes achieve high revenue without needing the highest sales volumes.

This suggests customers are willing to pay more for products they perceive as offering greater value.

Recommendation

The business should explore small price increases on its strongest-performing products while continuing to monitor customer demand.

Additional opportunities include premium upgrades, add-ons and meal combinations that encourage customers to spend slightly more without significantly changing purchasing behaviour.

Even an increase of £1 across popular menu items could produce a meaningful increase in annual revenue.

Operational Performance

Customer demand follows a clear and predictable pattern throughout the week.

The analysis shows that **Monday is the busiest trading day**, while **12:00 pm** is the busiest ordering hour. A second peak is also visible during the early evening.

Understanding these patterns allows the business to plan resources more effectively.

Recommendation

Staffing should be aligned with customer demand wherever possible.

Scheduling additional kitchen and front-of-house staff before the lunchtime rush will help reduce waiting times and improve customer experience. Likewise, quieter periods provide an opportunity to reduce labour costs without affecting service standards.

Using demand data to guide scheduling decisions can improve efficiency while protecting profitability.

Sales Growth Opportunities

February recorded the lowest revenue of the quarter, creating an opportunity for targeted commercial activity.

Rather than accepting seasonal dips in demand, the business can take proactive steps to encourage additional customer visits.

Recommendation

Promotional campaigns should be focused around quieter trading periods.

Potential initiatives include:

- Limited-time menu specials
- Loyalty rewards for repeat customers
- Midweek offers
- Meal bundles
- Social media promotions highlighting best-selling dishes

Driving additional traffic during slower periods will help create more consistent revenue throughout the year.

Key Recommendations

Based on the findings, the following actions are recommended:

Focus marketing around the restaurant's best-selling dishes. These products are already proven revenue drivers and should become the centrepiece of promotional activity.

Review menu performance on a regular basis. Continue investing in products that perform well while assessing whether lower-performing dishes still provide commercial value.

Increase average transaction value. Introduce meal bundles, premium upgrades and complementary add-ons to encourage higher customer spend.

Use operational data to improve staffing decisions. Align labour with peak trading periods to improve customer service while managing staffing costs more efficiently.

Strengthen promotional activity during quieter months. Targeted campaigns in lower-performing periods can help maintain more consistent revenue across the year.

Embed data into business decision-making. Regularly reviewing performance dashboards will allow management to identify trends earlier, respond more quickly to changing customer behaviour and make decisions based on evidence rather than assumptions.

Conclusion

The restaurant has delivered a strong performance during Quarter 1, generating over **£159,000 in revenue** while maintaining steady customer demand and a healthy average order value. The data shows that the business already has a solid foundation, with a loyal customer base and several standout menu items driving consistent revenue.

The next stage is not about changing what already works. It is about building on those strengths. By investing in the most successful products, refining the menu, improving staffing efficiency and making greater use of performance data, the restaurant is well positioned to increase profitability and support sustainable growth.

The insights from this report provide a clear direction for future decision-making, helping management focus investment where it is most likely to deliver measurable commercial value.